Canada Revenue Agency | Agence du revenu du Canada

Child Care Expenses Deduction for 2016

This information sheet will help you fill out Form T778. The terms **child care expenses**, **eligible child**, **net income**, and **earned income** are defined on the next page.

Who can claim child care expenses?

If you are the only person supporting the eligible child, you can claim child care expenses you incurred while the eligible child was living with you. Fill out parts A and B, and, if it applies, Part D.

There may have been **another person** who lived with you at any time in 2016 **and** at any time during the first 60 days of 2017 who was:

- the eligible child's parent;
- your spouse or common-law partner, if you are the father or the mother of the eligible child; **or**
- an individual claiming an amount for the eligible child on line 305, 306, 315, or 367 of their Schedule 1.

In this situation, the person with the **lower net income** (including zero income) must fill out parts A and B and claim the child care expenses unless one of the situations in Part C or in Part D applies.

If any of the situations in Part C or in Part D apply, the child care expenses can be claimed by the person with the **higher net income**, or in part by both the person with the higher net income and the person with the lower net income. In this situation, the person with the higher net income must calculate the claim first. However, you must each fill out a separate Form T778, and fill out parts A and B, and, if it applies, parts C and D.

If both of you have **equal net incomes**, you have to agree on which one of you will claim the child care expenses.

If you got married or became a common-law partner in 2016, you and your spouse or common-law partner have to consider your net incomes for the whole year. Include child care expenses you both paid for the whole year.

What payments can you claim?

You can claim child care expenses that were incurred for services provided in 2016. These include payments made to:

- caregivers providing child care services;
- day nursery schools and daycare centres;
- educational institutions, for the part of the fees that relate to child care services;
- day camps and day sports schools where the primary goal of the camp is to care for children (an institution offering a sports study program is not a sports school); or
- boarding schools, overnight sports schools, or camps where lodging is involved (read the note in Part A of Form T778).

If you were a **resident of Quebec**, you can also claim the basic contribution you paid directly to the subsidized childcare service provider. If applicable, also claim the additional contribution calculated on Revenu Québec's Schedule I.

The above is not an exhaustive list of deductible child care expenses. For more information, see Income Tax Folio S1-F3-C1, *Child Care Expense Deduction*.

When the child care services are provided by an individual, the individual cannot be:

- the eligible child's father or mother;
- **another person** (as described under "Who can claim child care expenses?");
- a person for whom you or another person claimed an amount on line 305, 306, 315, or 367 of Schedule 1; **or**
- a person under 18 years of age who is **related to you**.

  A person is **related to you** if he or she is connected to you by a blood relationship, marriage or common-law partnership, or adoption. For example, your brother, sister, brother-in-law, sister-in-law, and your or your spouse's or common-law partner's child are related to you. However, your niece, nephew, aunt, and uncle are not.

Supporting documents – The individual or organization who received the payments must give you a receipt showing information about the services provided. When the child care services are provided by an individual, you will need the social insurance number of the individual. If you are filing electronically, keep all your documents in case we ask to see them at a later date. If you are filing a **paper return**, attach your completed Form T778, but do not send your other documents. Keep all your documents in case we ask to see them at a later date.

Notes

You may have paid an amount that would qualify to be claimed as child care expenses and the children's arts amount (line 370 of Schedule 1) or the children's fitness tax credit (line 459 on page 4 of the return). If this is the case, you **must** first claim this amount as child care expenses. Any unused part can be claimed for the children's arts amount or the children's fitness tax credit as long as the requirements are met.

If you paid an individual to provide child care in your home, you may have some responsibilities as an employer. If you are not sure of your situation, contact us.

What payments you cannot claim?

You cannot claim payments for:

- medical or hospital care, clothing, or transportation costs;
- fees that relate to education costs at an educational institution, such as tuition fees of a regular program or a sports study program; and
- fees for leisure or recreational activities, such as tennis lessons or the annual registration for Scouts.

Note

Some expenses may not qualify for the child care expenses deduction. However, they may qualify for the children's arts amount or the children's fitness tax credit if they meet the rules for claiming the children's arts amount (line 370 of Schedule 1) or the children's fitness tax credit (line 459 on page 4 of the return).

You cannot claim expenses for which you or **another person** (as described under "Who can claim child care expenses?") received, or is entitled to receive, a reimbursement of the child care expenses or any other form of assistance not included in income. This includes, for example, the hiring credit for small business and small business job credit received under the *Employment Insurance Act*. If your employer paid the child care expenses on your behalf, you can claim the part of the expenses included in your income for the year.

Other situations

When completing the return of a **person who died in 2016**, claim eligible child care expenses that were paid while that person was living with the eligible child as if he or she was the only person supporting the child. However, if there was **another person** (as described under "Who can claim child care expenses?"), that person is also considered the only person supporting the child and can claim eligible child care expenses paid while living with the child, as long as the expenses were not claimed on the return of another person.

If you lived outside Canada for part or all of 2016, and we consider you to be a **factual** or **deemed resident** of Canada, you can claim child care expenses that you paid to a non-resident person for services provided outside Canada. We explain these terms under "Which forms book should you use?" on page 10 of the *General Income Tax and Benefit Guide*. For information on other circumstances in which you can claim child care expenses paid for services provided outside Canada (e.g., commuters to the United States), please contact us.

If you **immigrated** to or **emigrated** from Canada in 2016, you can claim child care expenses for the period you were in Canada, as long as you otherwise qualify.

Definitions

The terms **child care expenses**, **eligible child**, **net income**, **earned income**, and **educational program**, used on Form T778, *Child Care Expenses Deduction for 2016*, are defined here.

Child care expenses

Child care expenses are amounts you or **another person** (as described under "Who can claim child care expenses?") paid to have someone look after an eligible child so that you or the other person could:

- earn income from employment;
- carry on a business either alone or as an active partner;
- attend school under the conditions identified under "Educational program" on this page; or
- carry on research or similar work, for which you or the other person received a grant.

The child must have lived with you or the other person when the expense was incurred for the expense to qualify. Usually, you can only deduct payments for services provided in Canada by a Canadian resident. Read "Other situations" above for exceptions.

Eligible child

Child care expenses can only be claimed for an eligible child.

An eligible child is:

- your or your spouse's or common-law partner's child; **or**
- a child who was dependent on you or your spouse or common-law partner, and whose net income in 2016 was $11,474 or less.

The child must have been **under 16** years of age at some time in the year. However, the age limit does not apply if the child was mentally or physically infirm and dependent on you or your spouse or common-law partner.

Net income

Your net income, and that of the other person, is used to determine which person can claim child care expenses. This is the amount from line 236 of your returns. However, **do not include** amounts for child care expenses (line 214) and social benefits repayment (line 235).

Earned income

Your earned income for line 6 in Part B of Form T778 is the total of:

- employment income (including tips and gratuities, and the non-taxable part of an allowance received as an emergency volunteer);
- net self-employment income, either alone or as an active partner (excluding losses);
- the taxable portion of scholarships, bursaries, fellowships and similar awards, and net research grants;
- any earnings supplement received under a project sponsored by the Government of Canada to encourage employment or sponsored under Part II of the *Employment Insurance Act* or any similar program;
- disability benefits received from the Canada Pension Plan or the Quebec Pension Plan; and
- amounts received under the Apprenticeship Incentive Grant program and the Apprenticeship Completion Grant program, administered by Employment and Social Development Canada.

Educational program

An educational program has to be offered by a secondary school, college, university, or other designated educational institution. This includes any institution certified by Employment and Social Development Canada for courses that develop or improve occupational skills. An eligible program has to last at least 3 consecutive weeks. A **full-time** educational program requires students to spend at least 10 hours a week on courses or work in the program. A **part-time** educational program requires students to spend at least 12 hours in a calendar month on courses in the program.

For more information

What if you need help?

If you need more information after reading this publication and the Income Tax Folio S1-F3-C1, *Child Care Expense Deduction*, visit cra.gc.ca or call **1-800-959-8281**.

Teletypewriter (TTY) users

TTY users can call **1-800-665-0354** for bilingual assistance during regular business hours.

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Child Care Expenses Deduction for 2016

Protected B when completed

Before you fill out this form, read the attached information sheet.

Part A – Total child care expenses

First and **last name** and **date of birth** of all your eligible children, even if you did not pay child care expenses for all of them.

	Year	Month	Day

First name of each eligible child for whom payments were made	**Child care expenses paid** (read note below)	**Name of the child care organization** or **name and social insurance number of the individual** who received the payments	Number of weeks for **boarding schools** or **overnight camps**
	+		
	+		
	+		
	+		
Total 6795	=		

Note

The maximum you can claim for expenses that relate to a stay in a boarding school (other than education costs) or an overnight camp (including an overnight sports school) is:

- **$200 per week** for a child included on line 1 in Part B;
- **$275 per week** for a child included on line 2; and
- **$125 per week** for a child included on line 3.

Enter the amount of expenses included above that were incurred in 2016 for a child who was 6 or younger at the end of the year. **6794**

Part B – Basic limit for child care expenses

Number of eligible children **born in 2010 or later**, for whom the disability amount cannot be claimed		× **$8,000** =			1
Number of eligible children **born in 2016 or earlier**, for whom the disability amount can be claimed *		× **$11,000** =	**6796**	+	2
Number of eligible children **born in 2000 to 2009**, (and born in 1999 or earlier, with a mental or physical impairment, for whom the disability amount cannot be claimed)		× **$5,000** =		+	3
Add lines 1, 2, and 3.				=	4
Enter the amount from **line 6795 in Part A**.					5
Enter your **earned income**.		× $\frac{2}{3}$ =			6
Enter the amount from line 4, 5, or 6, whichever is **least**.					7

If you are the person with the higher net income, go to Part C. Leave lines 8 and 9 blank.

Enter the amount that the **other person** with the higher net income deducted on line 214 of his or her 2016 return.		−	8
Line 7 minus line 8. If you attended school in 2016 and you are the only person making a claim, also go to Part D. Otherwise, enter this amount on line 214 of your return. **Allowable deduction**		=	9

***** Attach Form T2201, *Disability Tax Credit Certificate*. If this form has already been filed for the child, attach a note to your return showing the name and social insurance number of the person who filed the form and the tax year for which it was filed.

(Vous pouvez obtenir ce formulaire en français à arc.gc.ca/formulaires ou en composant le **1-800-959-7383**.)

Canada

Part C – Are you the person with the higher net income?

Fill out this part **and** tick the boxes that apply if, in 2016, **another person** with lower net income was in a situation described below.

Name of person with lower net income	Social insurance number	Net income

- ☐ **a)** The other person attended school and was enrolled in a **part-time** educational program.
- ☐ **b)** The other person attended school and was enrolled in a **full-time** educational program.
- ☐ **c)** The other person was not capable of caring for children because of a mental or physical infirmity. That person must have been confined for a period of at least two weeks to a bed or wheelchair, or as a patient in a hospital, or other similar institution. Attach a statement from the attending physician certifying this information.
- ☐ **d)** The other person was not capable of caring for children because of a mental or physical infirmity, and this situation is likely to continue for an indefinite period. Attach a statement from the attending physician certifying this information.
- ☐ **e)** The other person was confined to a prison or similar institution for a period of at least two weeks.
- ☐ **f)** You and your spouse or common-law partner were, due to a breakdown in your relationship, living separate and apart at the end of 2016 and for a period of at least 90 days beginning in 2016, but you reconciled before March 1, 2017.

Enter the amount from line 4 in Part B.		× **2.5%** =		**10**
Multiply the amount on line 10 by the number of **months** in 2016 that the situation in **a)** existed (other than a month that includes a week that any of the situations in **b)** to **f)** existed).				**11**
Multiply the amount on line 10 by the number of **weeks** in 2016 that any of the situations in **b)** to **f)** existed.			+	**12**
Add lines 11 and 12.	**6798**		=	**13**
Enter the amount from line 7 in Part B or line 13, whichever is **less**. If you attended school in 2016, go to Part D. Otherwise, enter this amount on line 214 of your return. **Allowable deduction**				**14**

Part D – Were you enrolled in an educational program in 2016?

Fill out this part if, at any time in 2016, either of the following situations applied to you:

- You were the **only person supporting the eligible child**, line 7 equals line 6 in Part B, and you were enrolled in an educational program.
- You were the **person with the higher net income**, line 7 equals line 6 in Part B, and, at the same time in 2016, you **and another person** were enrolled in an educational program. **But first, fill out Part C.**

Part D does not apply to the person with the lower net income, since the other person will claim this part of the deduction for both of them.

Enter the amount from line 4 in Part B.		× **2.5%** =		**15**
Multiply the amount on line 15 by the number of **weeks** in 2016 during which you were enrolled in a **full-time** educational program. If there was **another person**, he or she must also have been enrolled in a **full-time** educational program during the **same weeks**.				**16**
Multiply the amount on line 15 by the number of **months** (other than any month that includes a week used to calculate the amount on line 16) in 2016 during which: • there was no **other person** and you were enrolled in a **part-time** educational program; or • you and the other person were enrolled in a **full-time** or **part-time** educational program during the **same months**.			+	**17**
Add lines 16 and 17.	**6801**		=	**18**
Line 4 in Part B minus line 9 in Part B or line 14 in Part C, whichever applies to you				**19**
Line 5 in Part B minus line 9 in Part B or line 14 in Part C, whichever applies to you				**20**
Enter your **net income** (not including amounts on lines 214 and 235).		× $\frac{2}{3}$ =		**21**
If you filled out Part C: Line 13 in Part C minus line 6 in Part B				**22**
Enter the amount from line 18, 19, 20, 21, or (if it applies) 22, whichever is **least**.				**23**
Enter the amount from line 9 in Part B or the amount from line 14 in Part C, whichever applies to you.			+	**24**
Add lines 23 and 24. Enter this amount on line 214 of your return. **Allowable deduction**			=	**25**